

**Time:** 4 minutes**Outcome:** Explain how prices coordinate buyers, sellers, and resource allocation.**Difficulty:** ●●○ Intermediate

Price Signals



THE CORE IDEA

Prices coordinate decentralized decisions by communicating scarcity and changing the incentives facing buyers and sellers. Information about waiting costs can redirect users much like a price signal. A higher price raises the cost of consuming the good and encourages substitution or conservation. A higher price communicates stronger scarcity or demand pressure and encourages supply responses. A supply improvement can lower price by reducing the good's relative scarcity.



HOW TO RECOGNIZE IT

- A higher price communicates stronger scarcity or demand pressure and encourages supply responses.
- The price of a product falls after a new production technology spreads.
- A congested road has no toll.
- A price rises while quantity sold also rises.
- A shortage persists because a legal ceiling prevents price from rising.



WATCH OUT

A common mistake is to assume that a higher price always tells buyers and sellers to do the same thing. It discourages quantity demanded while encouraging quantity supplied, coordinating opposite responses.



WORKED EXAMPLE: USING A PRICE SIGNAL

A hospital posts current wait times of 90 minutes at Clinic A and 20 minutes at Clinic B. Patients who can use either location shift toward Clinic B. The posted wait acts like a nonmoney price signal: it communicates relative congestion and reallocates demand without changing the medical fee.



CHECK YOURSELF

What response does a higher market price normally encourage from sellers?

**READY?**

Return to the game and master this concept.